

- **fat FIRE** is when the 4 per cent drawdown from your portfolio is at least \$100 000 a year
- **lean FIRE** is when that drawdown is \$25 000 to \$35 000 a year
- **barista FIRE** is when the 4 per cent drawdown covers your basic expenses (such as mortgage and utilities) and you work part time to pay for any luxury you want to add to your life.

I know \$35 000 a year to live off doesn't sound like a lot, but if you think about it, if you were a single person who spent \$500 a week on rent, \$100 a week on food and \$30 a week on utilities (heating, water, etc.) then your necessities are \$32 760 a year. This means you'd no longer have to work to survive, and any job you take on is for your own benefit.

There's one catch (because there always is). To live off \$35 000 a year by drawing down 4 per cent of a portfolio, that portfolio 'nest egg' that you save up will need to be *at least* \$875 000.

To live a leaner FIRE lifestyle, living off \$20 000 a year by drawing down 4 per cent, you'd need at least \$500 000 invested.

To live a life of fat FIRE, where you have an annual salary of \$100 000 a year, the nest egg gets much larger: at least \$2.5 million.

I get it, \$2.5 million sounds impossible. FIRE requires a level of privilege; you need to not only find a way to increase your income, but you also need to be able to decrease your living expenses. This gets significantly harder when you're a guardian or financially funding your parents' retirement, as many people of colour do, or if you have commitments to your family, such as contributing to a younger sibling's college fund. It also fails to take into account that not everyone has the ability to upskill, such as people living with disabilities, or those who are time poor due to family commitments.

With all that in mind, retiring even 5 or 10 years earlier, at 50 or 60, is still a feat, and something worth aiming towards if you can.

Even investing \$500 a month, or \$125 a week, for 37 years at a rate of 7 per cent annual returns can give you \$1 000 000 (not adjusted for inflation).

And if you are a student who may not be making much, you have time on your side, investing \$62.50 a week for 46 years also brings you to \$1 000 000.